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Strategic Trading Analysis

Here is an objective, positional trading analysis based on the provided report for DIVISLAB.NS.

Step 1: Audit the Data

- **Data Present:** 3-year daily price charts, long-term and short-term fundamentals, Relative Strength analysis (vs. ^CNXPHARMA), moving averages (20, 50, 200 EMAs), Bollinger Bands, Supertrend, MACD, RSI, volume analysis (including distribution days), multi-timeframe analysis (Weekly, Daily, 15-min), and basic analyst estimates.
- **Data Missing:** Broader market index comparisons (e.g., Nifty 50), institutional ownership trends, and specific horizontal support/resistance level mapping.
- **Confidence Level:** High. The report is extremely comprehensive, providing a robust mix of trend, momentum, volatility, and volume indicators across multiple timeframes, which is more than sufficient to evaluate a 1-4 month positional setup.

Step 2: Analyze the Setup

- **Price Structure:** The stock has suffered a significant breakdown from its peak near INR 7000 down to current levels of INR 5856.50. The daily chart shows a clear sequence of lower highs and lower lows, indicating a structural shift from accumulation to distribution.
- **Trend Direction:** The stock is in a **Strong Downtrend**. Crucially for a positional trader, the current price is trading below the 20-day, 50-day, and 200-day EMAs. Furthermore, the EMAs have crossed into a bearish alignment (20 EMA < 50 EMA < 200 EMA). Both the Daily and Weekly Supertrends are currently flashing "Sell" signals.
- **Momentum & Volume:** Momentum is heavily bearish. The MACD is below the zero line and its signal line. RSI is at 33.24, showing strong downward pressure (though approaching oversold territory). Most concerning is the volume analysis, which shows **31 signals detected with multiple recent "Distribution Days"** in late Feb, March, and April 2026. This indicates institutional offloading. Relative Strength against the Pharma sector is weak to neutral (RS Score: 49.4).
- **Confluence:** There is heavy bearish confluence across trend, momentum, and volume. While the price is near the lower Bollinger Band (suggesting it may be short-term oversold and prone to a technical bounce), a 1-4 month positional trade requires a favorable trend, not catching a falling knife.

Step 3: Formulate the Recommendation

Based on the rules of risk-averse positional trading, should you enter this stock now?

NO.

Reasoning: Entering a long position while a stock is in a multi-timeframe downtrend, printing distribution days, and trading well below its 200-day EMA violates core risk management principles. The probability of sustained 5%-15% upside is incredibly low until the stock stops falling, builds a base, and demonstrates renewed institutional buying.

Conditional Plan (Monitor for Future Setup): To consider a positional long for a 1-4 month hold, we need to see structural repair. Keep this on your watchlist until the following conditions are met:

- **Condition to Buy:** The stock must halt its decline, form a structural base (e.g., a double bottom or consolidation zone), and print a daily close decisively above both the 50-day EMA and the 200-day EMA

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on expanding volume.
- **Entry Price:** ~INR 6220 (Hypothetical trigger-assuming it breaks above the current 200 EMA resistance zone of INR 6209 to confirm the trend reversal).
- **Stop Loss:** ~INR 5850 (Hypothetical risk-placed below the current swing low to invalidate the reversal thesis).
- **Take Profit:** ~INR 6875 (Hypothetical target-aligning with previous major structural resistance and consensus analyst targets, yielding a ~10.5% upside).

Candlestick Classification Analysis

As a seasoned Candlestick Trader, analyzing the provided Candlestick Classification chart (Page 20 & Page 21) using the defined algorithm offers a fascinating view into the market's underlying psychology.

Here is my professional interpretation of the price action and the predicted future price movement for **DIVISLAB.NS**.

1. Current State & Immediate Context

- **Latest Classification: Buyer Control (+1)** (Light Green)
- **Recent Trend Score (10-day avg): 0.10**
- **Macro Context:** The stock has been in a definitive downtrend, dropping from a peak of roughly INR 6800 to the recent lows near the INR 5800-INR 5900 zone.

2. Breakdown of the Price Action Using the Algorithm

Looking at the distribution of the candles and the recent sequence on the chart (Page 21), here is what the algorithm is telling us:

- **Selling Exhaustion:** During the steep drop over the last few months, we see a lot of "Seller Control" (Light Red) and "No Control" (Grey) candles, but virtually no **"Seller Strong Control" (Dark Red)** candles near the bottom of the move. According to Step 1 and Step 4 of the algorithm, this means the downward moves lacked either massive ATR expansion (large bodies) or high volume. The sellers were grinding the price down, but we are not seeing panic selling or heavy institutional dumping at these levels.
- **The Dominance of Indecision:** The overall statistics show 114 days of **"No Control" (0)**. Looking at the recent bottoming structure, there are numerous grey candles. Based on Step 3 (Wick Analysis), this tells us that neither side has been able to hold the close near the extremes of the day. Both buyers and sellers are suffering from failed attempts and rejections (wicks). This is classic "basing" or "consolidation" behavior after a prolonged drop.
- **Cautious Buying Emerging:** The most recent candle is **"Buyer Control" (Light Green)**, and the 10-day average has just ticked positive (0.10). This means that recently, buyers are managing to close the price near the highs of the daily range (Step 2: Close Position Adjustment). However, because it did not trigger a "Buyer Strong Control" (+2), it tells us that either the daily body wasn't massive (>1.5 ATR) or, more importantly, the **volume was missing** (Step 4: Volume Multiplier).

3. Future Price Prediction

Directional Bias: Short-term Sideways-to-Bullish (Relief Rally), but Medium-term Unconfirmed.

Here is the strategic outlook based on the candlestick classification:

- **Short-Term Prediction:** The downward momentum has clearly stalled. The shift from Seller Control (Light Red) to No Control (Grey) and now to Buyer Control (Light Green) indicates a change in local sentiment. The price is likely to drift higher in the short term as sellers step back and short-sellers cover their

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positions. Expect the price to attempt a push back up toward the recent breakdown levels (the INR 6100-INR 6200 zone).
- **The Missing Link (Why we aren't wildly bullish yet):** As a seasoned trader, I am deeply focused on Step 4 of your algorithm (Volume Multiplier). To predict a massive, sustained reversal, I want to see a **"Buyer Strong Control" (Dark Green)** candle. We need a day with a large green body, closing near the high, accompanied by volume >1.3x average. That would signify institutional accumulation. Right now, the volume on the bottom chart remains relatively flat during these recent green days.

Trader's Actionable Verdict:

The market is forming a **fragile bottom**. * **If you are looking to buy:** It is a reasonable area to start scaling in with a tight stop-loss just below the recent wicks (around INR 5780), playing for a short-term bounce. * **If you want a safe entry:** Keep your powder dry until the algorithm prints a **Dark Green (Buyer Strong Control)** candle. A high-volume breakout from this grey/indecision zone is required to confirm that the big money has firmly taken the steering wheel for the next leg up.

News & Analyst Targets

As a stock research analyst, I have reviewed the latest market data, news, and brokerage notes for **Divi's Laboratories (NSE: DIVISLAB)** up to this week of **April 3, 2026**. Here is the comprehensive research summary you requested:

1) Latest News for DIVISLAB (This Week)

- **Stock Price Pressure:** DIVISLAB experienced a notable decline this week, touching an intraday low of INR 5,702 on April 2, 2026. The stock has faced consecutive days of decline and technical price pressure owing to broad market weakness and a sectoral downturn in pharmaceuticals.
- **Q4 FY26 Earnings Scheduled:** The market is now looking ahead to the upcoming Q4 FY26 (Jan-Mar 2026) results, which the company is scheduled to announce on **April 29, 2026**.
- **Fighting Tax Assessment:** In recent regulatory developments, Divi's Laboratories announced it is fighting a INR 570.5 crore (approx. $60.8 million) tax adjustment order from the Indian government related to transfer pricing and corporate tax positions for FY 2022-23.
- **Window Closure:** The company's trading window was officially closed starting April 1, 2026, ahead of the Q4 financial results.

2) Upgrades and Downgrades from Brokerages

- **Citi (Bullish/Upgrade outlook):** Citi is highly bullish on Divi's Labs, stating that **2026 will be a massive "turning point"** for the company. They reiterated a **Buy** rating and placed the stock as their top Indian pharma pick.
- **Jefferies (Upgrade):** Following the recent quarterly results, Jefferies raised its target price and maintained a bullish stance on the stock's future earnings cycle.
- **Morgan Stanley & Goldman Sachs (Downgrade/Cautious):** Morgan Stanley reduced its target price recently, citing a subdued environment and prolonged pricing pressures in the Generics API business. Goldman Sachs also continues to maintain a cautious stance on the counter.

3) Direct and Indirect Impacts on DIVISLAB

- **GLP-1 Drug Boom (Positive Impact):** The massive global shift towards diabetes and anti-obesity drugs is a major tailwind. Divi's custom synthesis business is heavily positioned to benefit from the entry of GLP-1 molecules-specifically *Tirzepatide* (scaling in H1 2026) and *Orforglipron* (expected H2 2026).

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- **Trump Administration Tariffs (Negative Indirect Impact):** A major macroeconomic overhang this week includes reports that the US Trump administration may slap tariffs of up to 100% on foreign pharmaceutical companies that do not ensure low drug prices. This has created supply chain uncertainties and dragged down Indian pharma stocks across the board, including Divi's.
- **Patent Expiries in 2026 (Positive Impact):** While Divi's generic API business has been historically pressured, 2026 is expected to see a turnaround due to a wave of prominent medications losing their patent exclusivity, opening up new production opportunities.
- **Statutory Policy Changes (Slight Negative Impact):** Divi's bottom line recently took a INR 74 crore exceptional hit due to the rollout and compliance with new Indian labor codes, impacting employee benefit expenses.

4) Latest Analyst and Brokerage Targets for DIVISLAB

Below is a consolidated Markdown table of the most recent target prices and consensus estimates mapped out by the analyst community going into Q4 2026:

Brokerage / Research Platform	Target Price (INR)	Rating / Stance	Key Rationale / Notes
Citi	9,140	Buy	Expects massive runway from GLP-1 drugs & custom synthesis peaking in 2026.
Jefferies	7,850	Buy	Hiked target post-Q3; foresees a significant earnings upcycle on the horizon.
Morgan Stanley	Reduced	Cautious	Lowered target citing pricing pressures and a subdued generic API environment.
Simply Wall St (Quant)	6,870	Fair Value	Upward revision driven by refined revenue growth and profit margin expectations.
Alpha Spread Consensus	6,987	Moderate Buy	1-year average consensus among surveyed Wall Street analysts.
Investing.com Consensus	6,875	Neutral / Hold	Average projection of 30 analysts (15 Buy, 5 Hold, 11 Sell); High end is 9,140.
Univest Analyst Consensus	6,000 - 7,500	Buy	Standard 12-month consensus range entering the Q4 FY26 earnings season.

Disclaimer: Target prices and stock recommendations are subject to market risks and the upcoming earnings

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report on April 29, 2026.

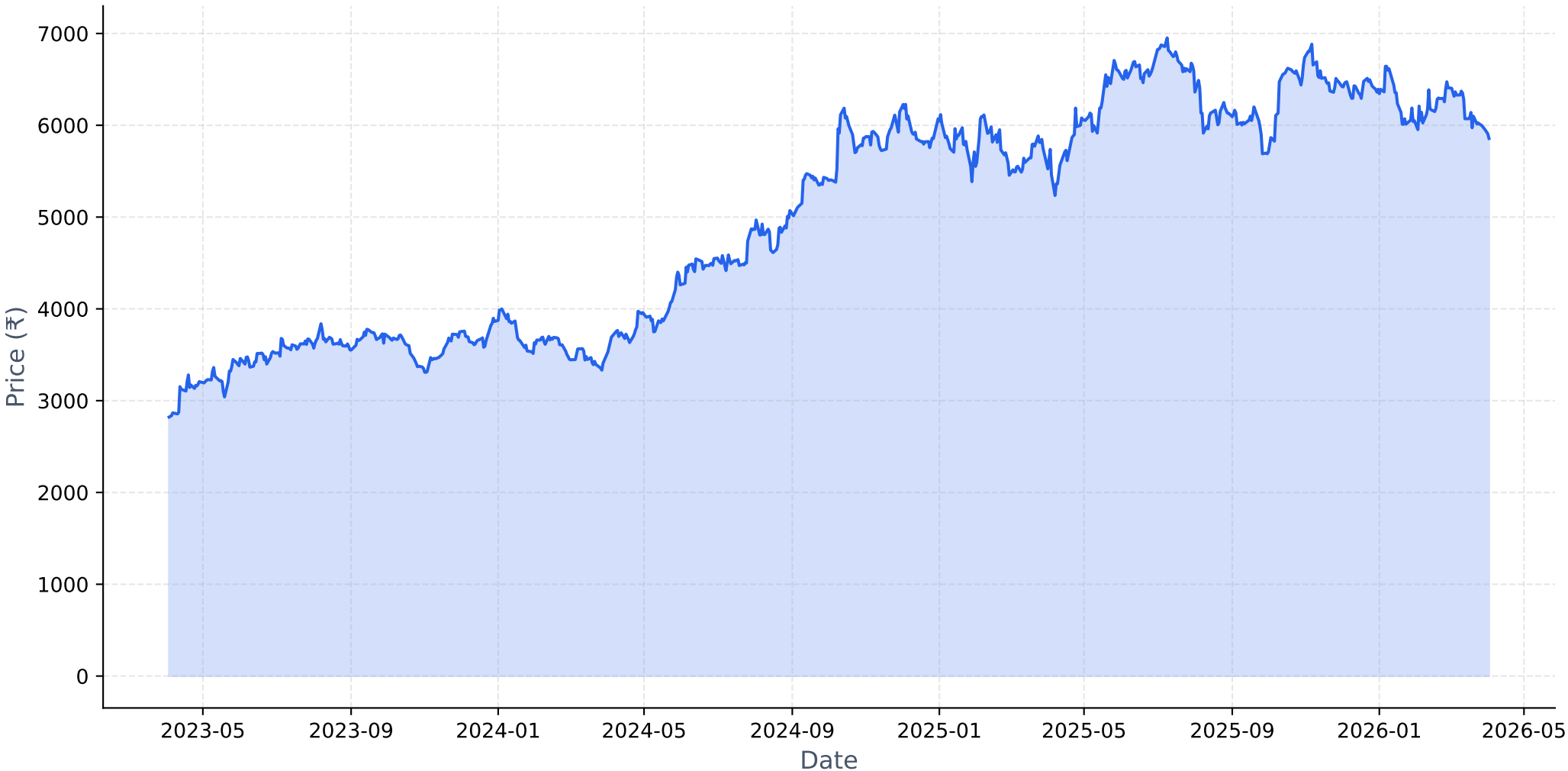
Stock Detailed Analysis Report

DIVISLAB.NS

Current Price: ₹5856.50

Generated: 2026-04-03 12:23

DIVISLAB.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	19.61%	1.95%
Net Income	No	Yes	36.94%	-9.55%
ROE	Yes	Yes	26.37%	1.54%
EPS	No	Yes	36.93%	-9.55%

Short-term Fundamental Analysis (6 Quarters)

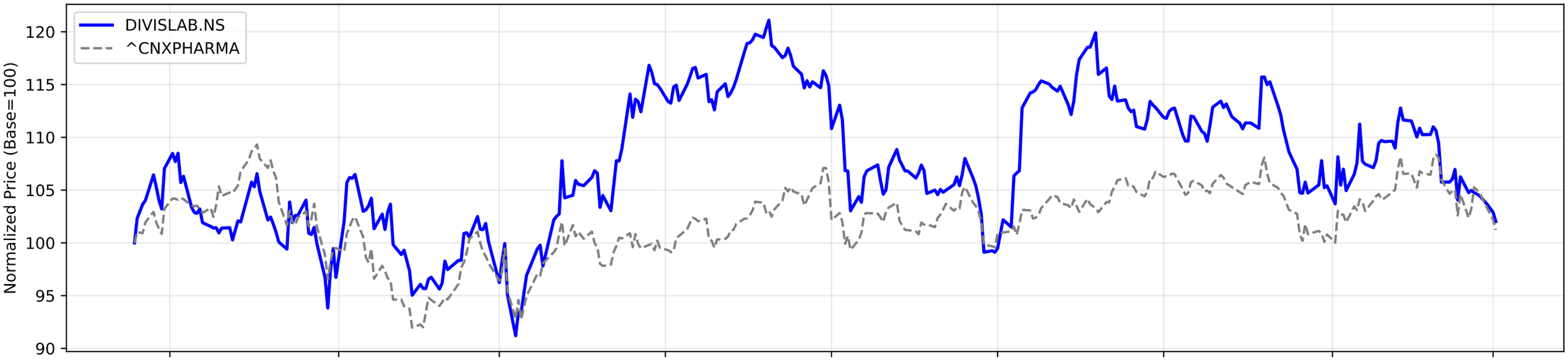
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	-5.49%	1.22%
Net Income	Yes	-17.67%	3.40%
EPS	Yes	15.62%	15.62%

DIVISLAB.NS - Relative Strength Analysis

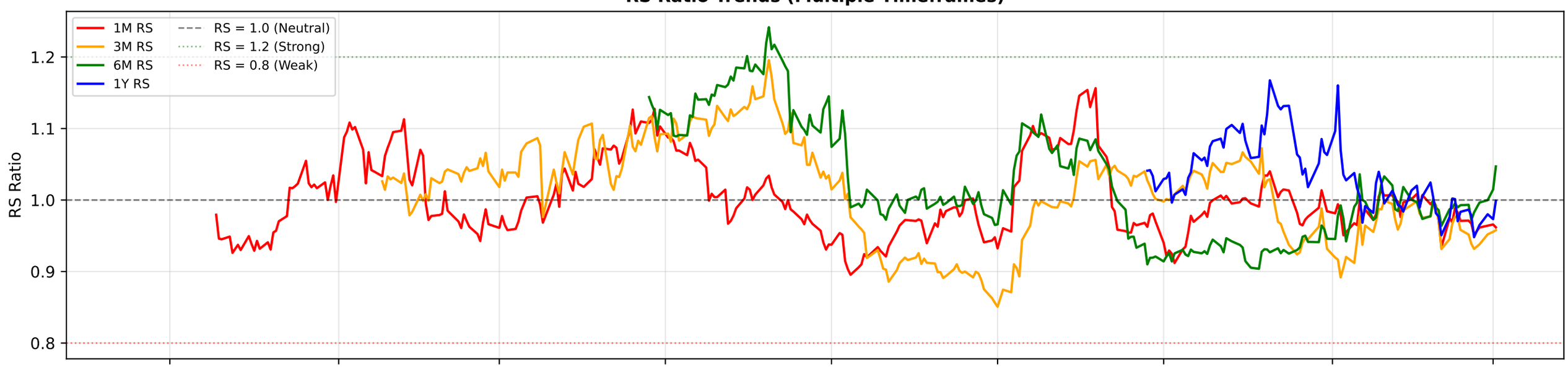
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXPHARMA
Sector:	Pharma
Classification:	**Neutral**
RS Score:	49.4/100
:	
═══ RS RATIOS ═══:	
1M RS:	**0.962 [Neutral]**
3M RS:	**0.958 [Neutral]**
6M RS:	**1.047 [Leader]**
1Y RS:	**0.999 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (0.962) > 3M (0.958)
✓ **Medium-term Lagging:**	1Y=0.999 (≤1.0)
✗ **Performance Improving:**	**Not improving**

Relative Strength Analysis: DIVISLAB.NS vs ^CNXPHARMA
Classification: Neutral

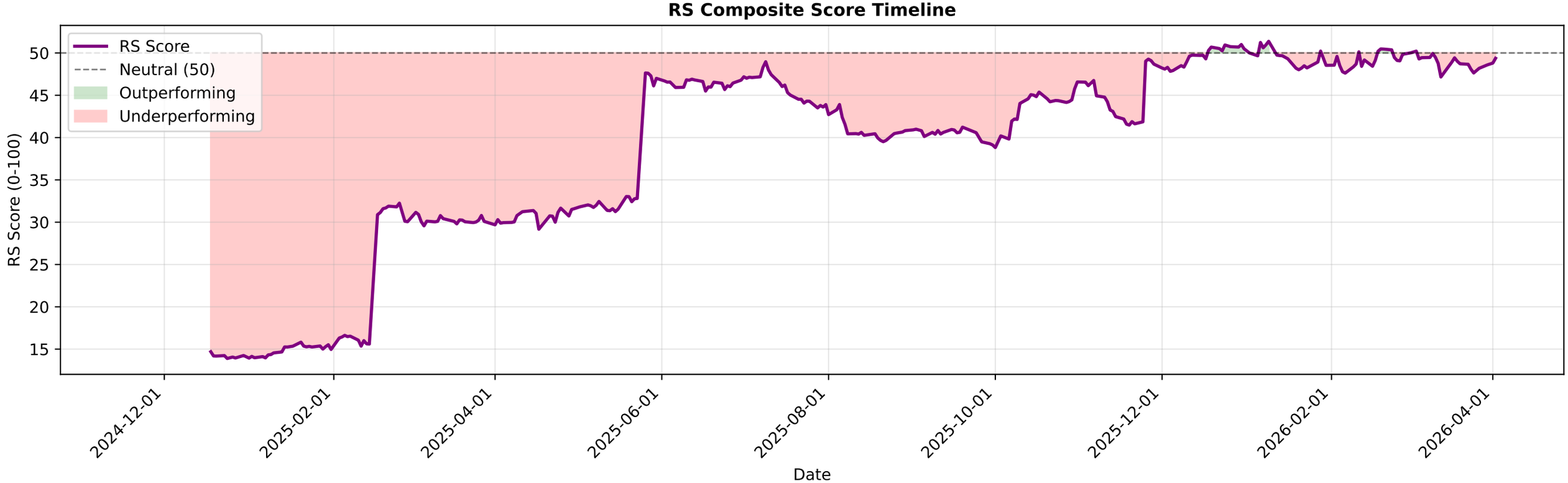
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

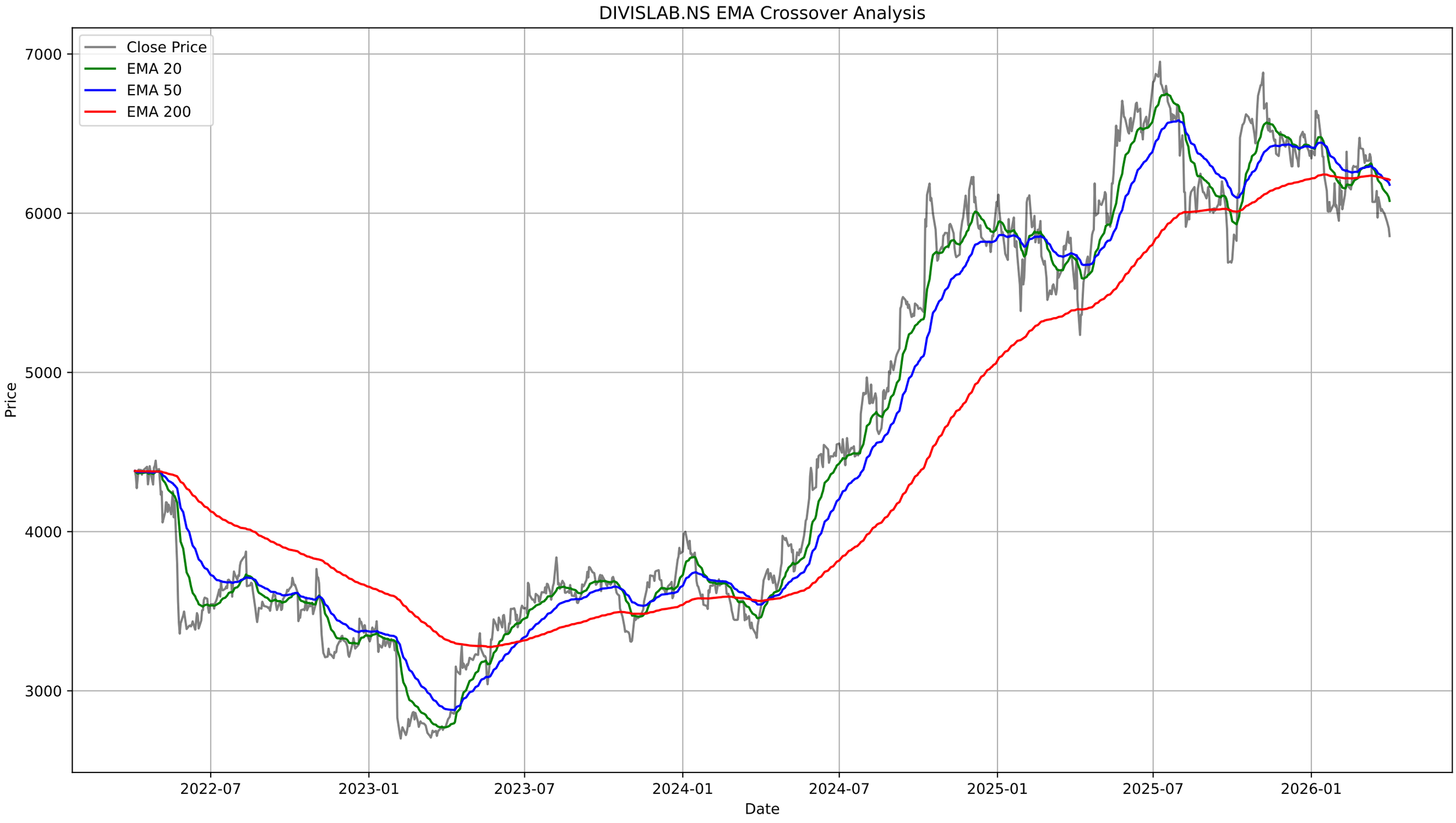


RS Composite Score Timeline



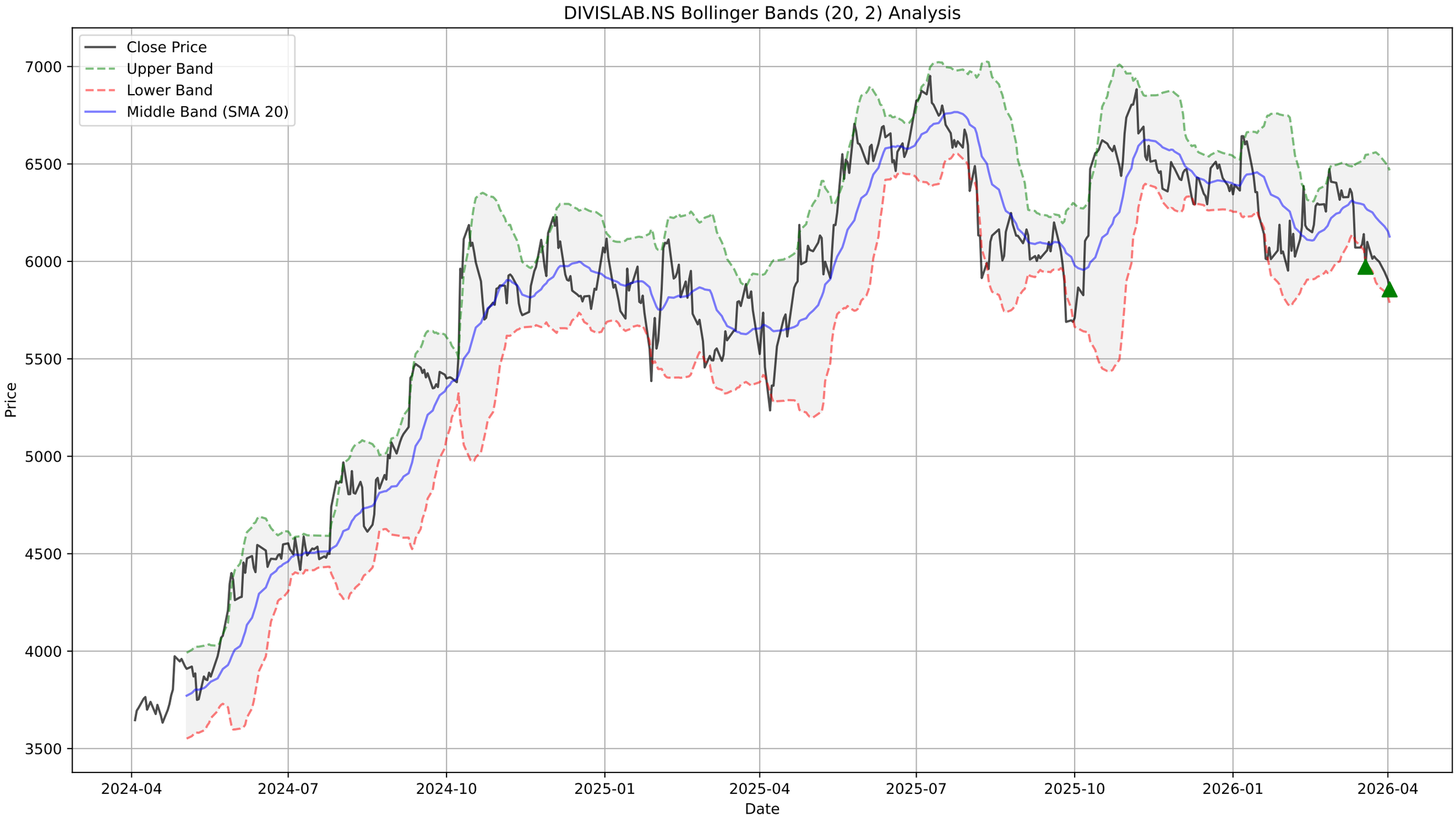
DIVISLAB.NS - EMA Crossover Summary

EMA 20:	6077.66
EMA 50:	6178.59
EMA 200:	6209.59
Trend Status:	**Strong Downtrend**


DIVISLAB.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
7000
6000
5000
4000
3000
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

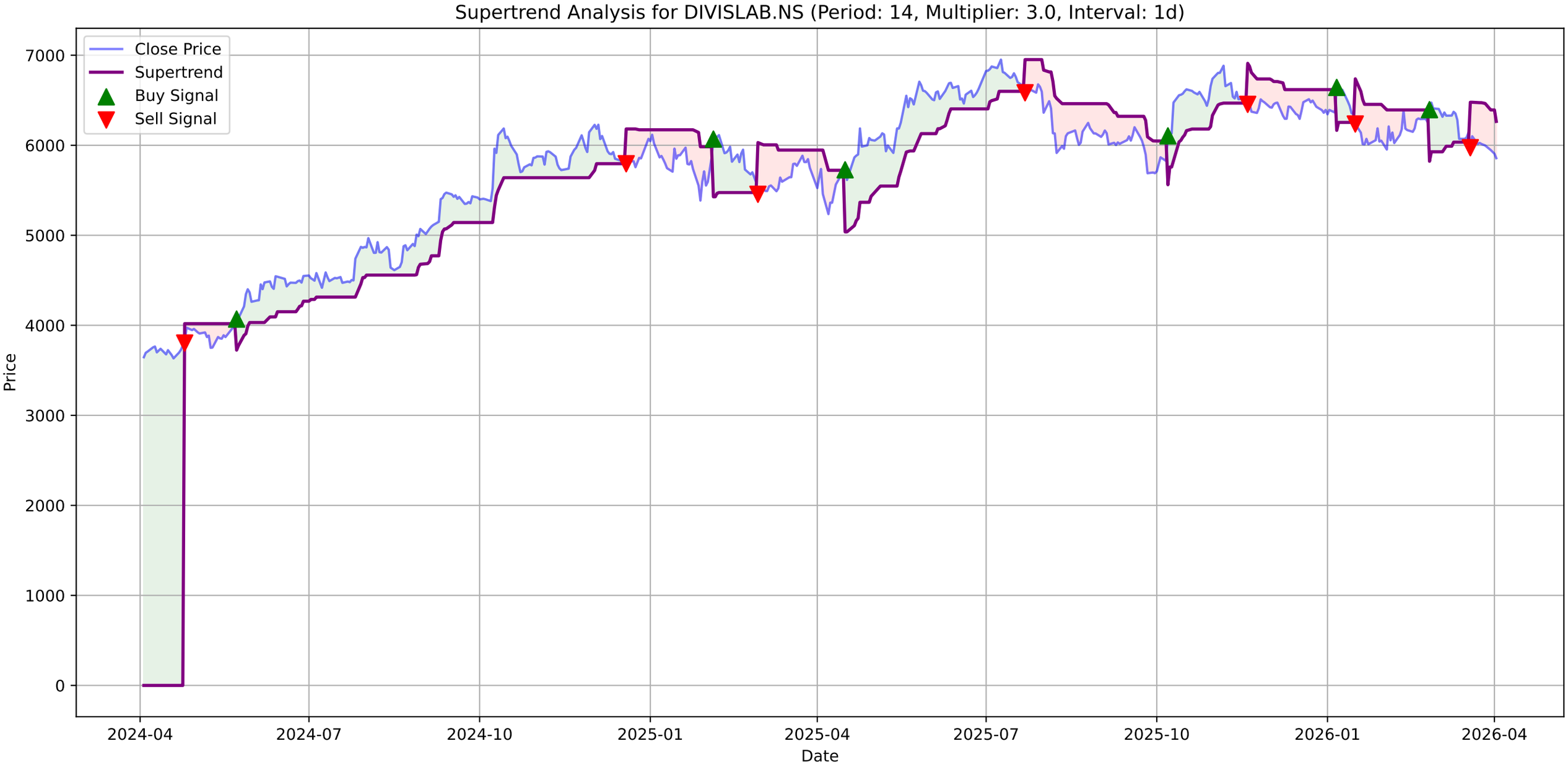
DIVISLAB.NS - Bollinger Bands Summary

Current Price:	5856.50
Upper Band:	6467.21
Middle Band (SMA 20):	6127.43
Lower Band:	5787.64
%B:	0.1013
Band Width:	0.1109
Status:	Lower Half
Signal:	**Buy Signal**
Recent Signal 1:	**Buy Signal at 2026-03-19 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-04-02 00:00:00+05:30**


DIVISLAB.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Date

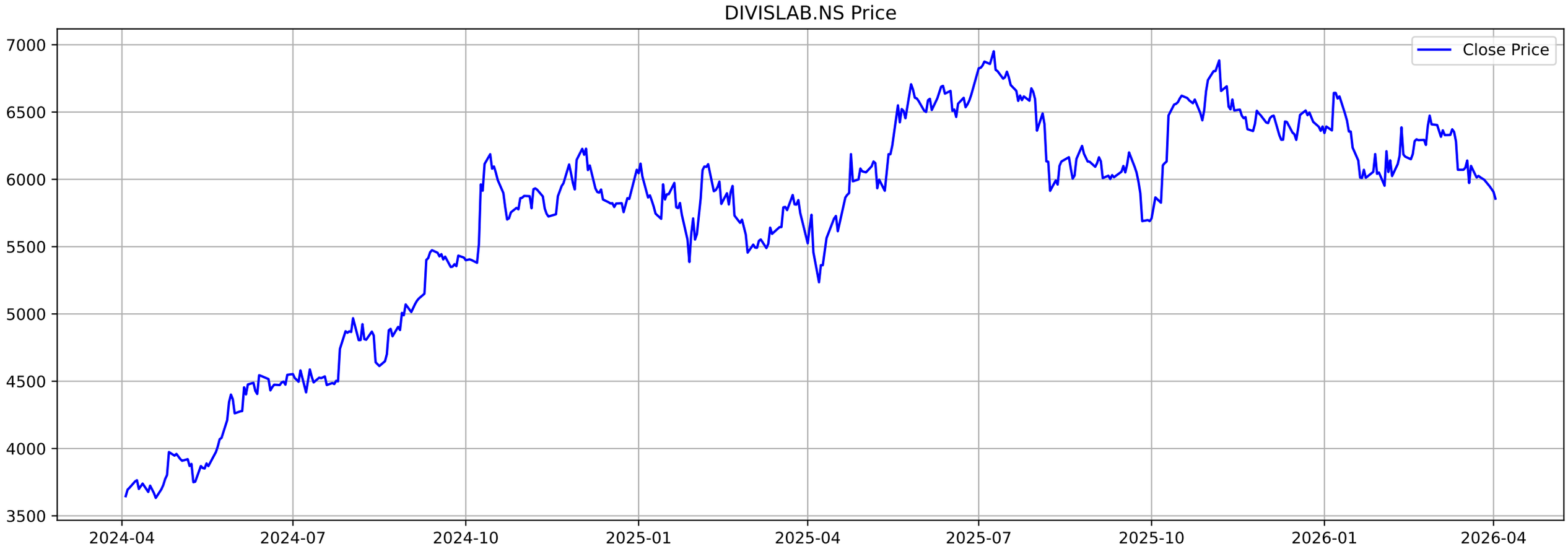
DIVISLAB.NS - Supertrend Summary

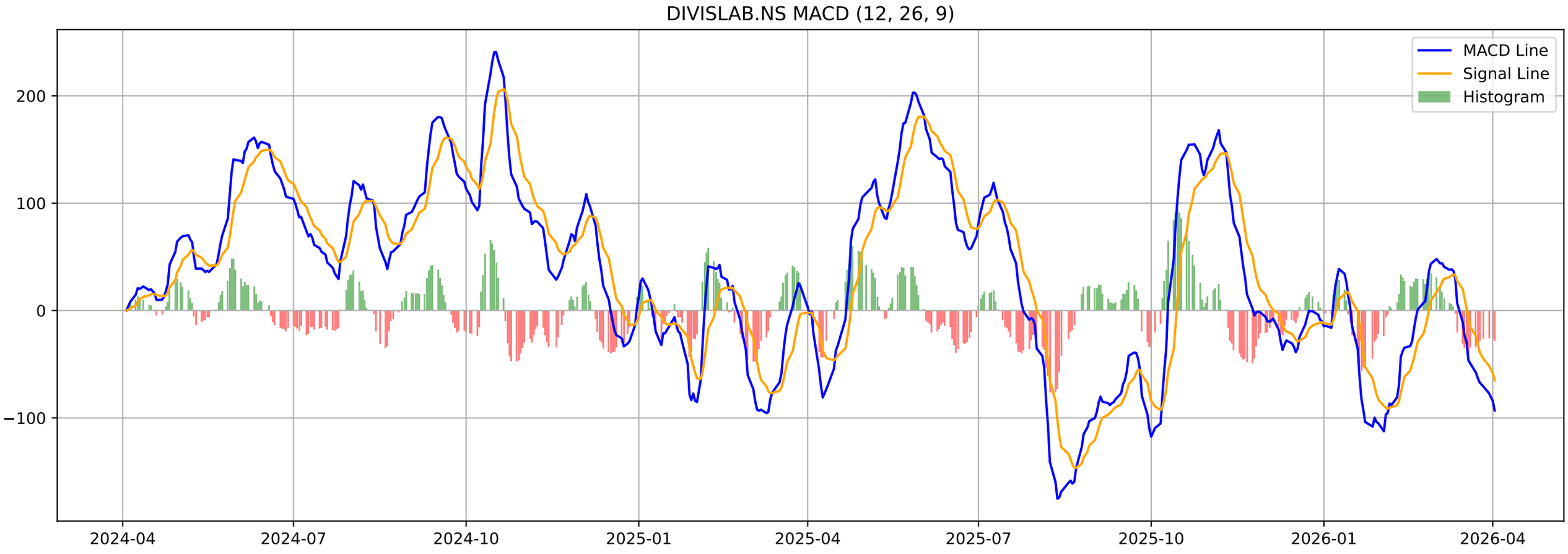
Status:	**DOWNTREND (Sell)**
Supertrend Value:	6265.07
Signal Identified On:	2026-03-19


Supertrend Analysis for DIVISLAB.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
7000
6000
5000
4000
3000
2000
1000
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

DIVISLAB.NS - MACD Summary

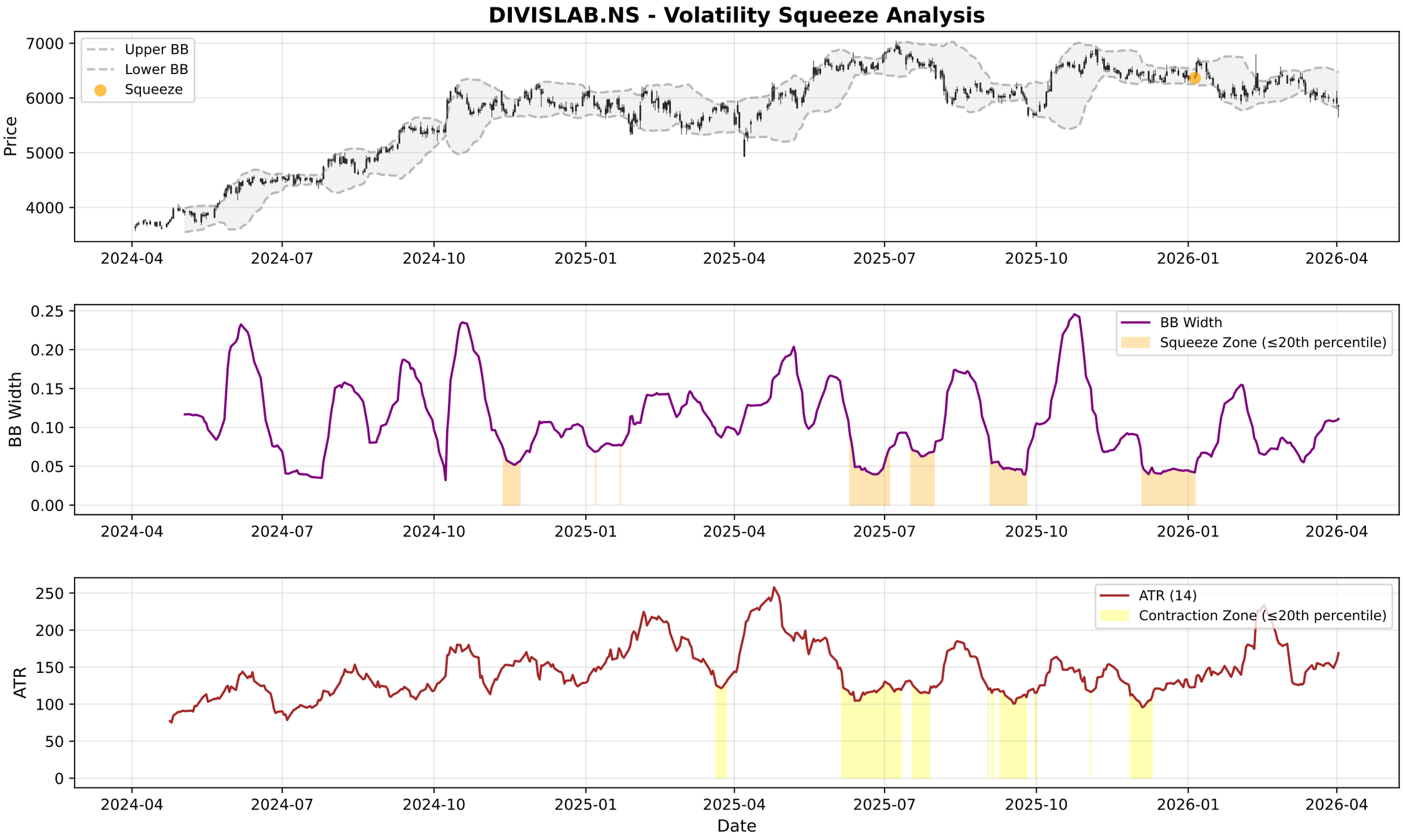
MACD Line:	-93.04
Signal Line:	-65.07
Histogram:	-27.97
Trend:	**Bearish**
Momentum:	**Strengthening**
Signal:	None


DIVISLAB.NS Price
Close Price
7000
6500
6000
5500
5000
4500
4000
3500
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04


DIVISLAB.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
200
100
0
−100
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

DIVISLAB.NS - Volatility Squeeze Summary

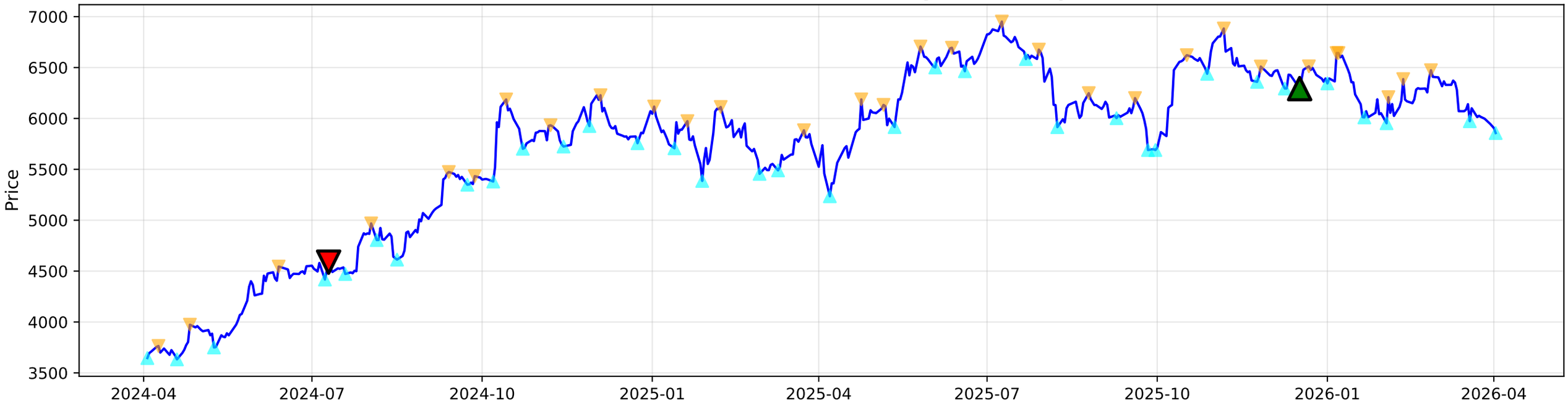
BB Width:	0.1109
ATR:	168.8571
Total Signals:	1
Signal 1:	BB Squeeze at 2026-01-05 00:00:00+05:30 (Price: 6363.50)

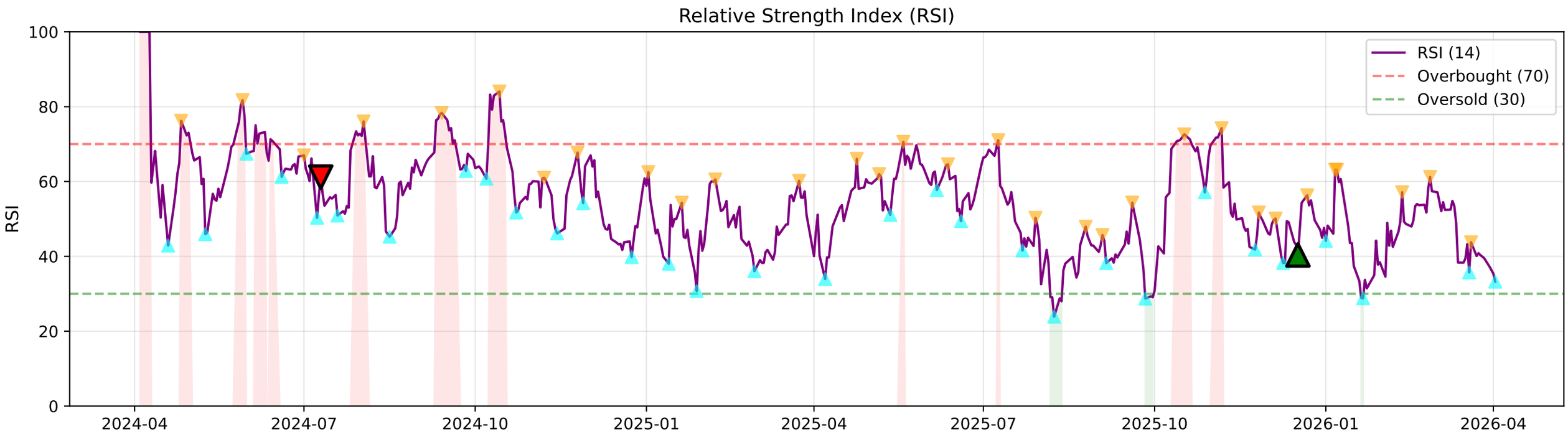

DIVISLAB.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Price
7000
6000
5000
4000
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
BB Width
Squeeze Zone (≤20th percentile)
0.25
0.20
0.15
0.10
0.05
0.00
ATR (14)
Contraction Zone (≤20th percentile)
ATR
250
200
150
100
50
0
Date

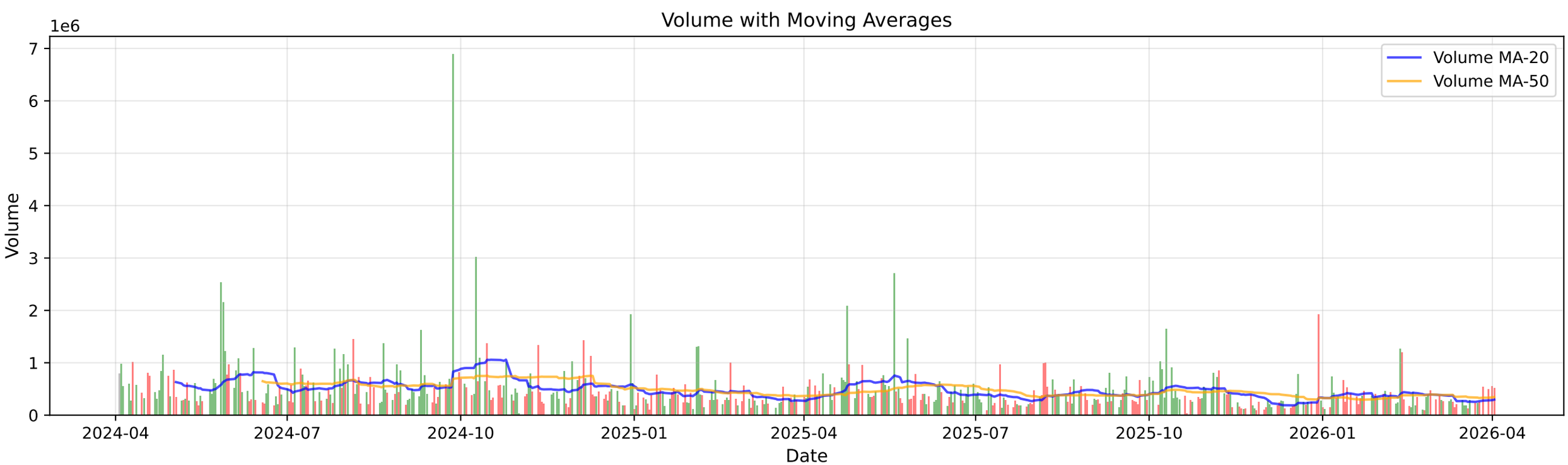
DIVISLAB.NS - RSI-Volume Summary

Current RSI:	33.24
Current Volume:	513534
Volume MA 20:	297499
Bullish Divergences:	1
Bearish Divergences:	1
Bullish Div 1:	Date: 2025-12-17 00:00:00+05:30, Price: 6293.00
Bearish Div 1:	Date: 2024-07-10 00:00:00+05:30, Price: 4587.77

DIVISLAB.NS RSI-Volume Divergence Analysis

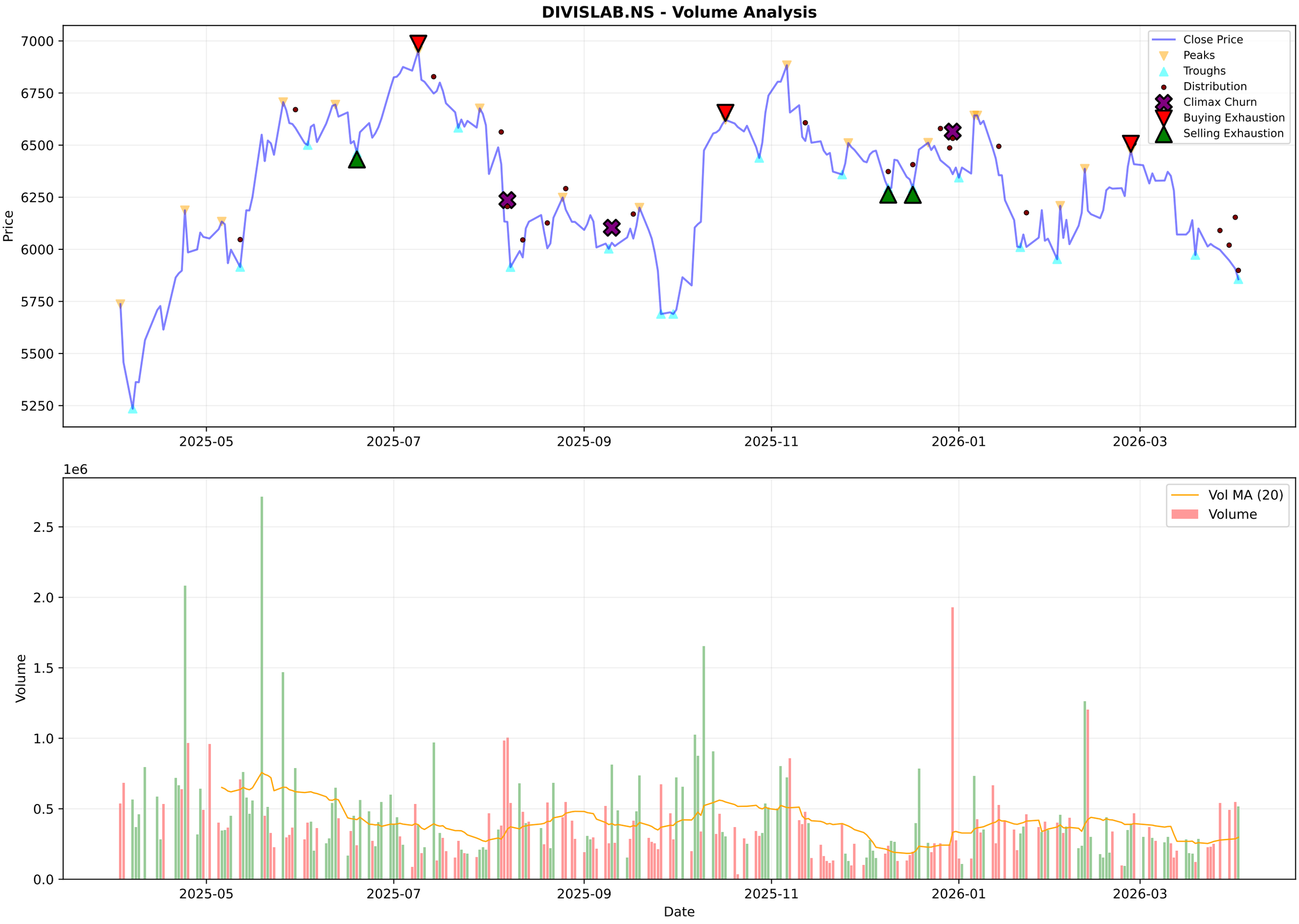






DIVISLAB.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**31 Signals Detected**
:	
2026-02-27 [-]:	Distribution Day
2026-03-27 [-]:	Distribution Day
2026-03-30 [-]:	Distribution Day
2026-04-01 [-]:	Distribution Day
2026-04-02 [-]:	Distribution Day


DIVISLAB.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
7000
6750
6500
6250
6000
5750
5500
5250
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e6
Vol MA (20)
Volume
Volume
2.5
2.0
1.5
1.0
0.5
0.0
Date

DIVISLAB.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**Buyer Control**
Recent Trend Score (10-day avg):	0.10
:	
Distribution:	
No Control:	114
Seller Control:	54
Buyer Control:	54
Seller Strong Control:	3
Buyer Strong Control:	3

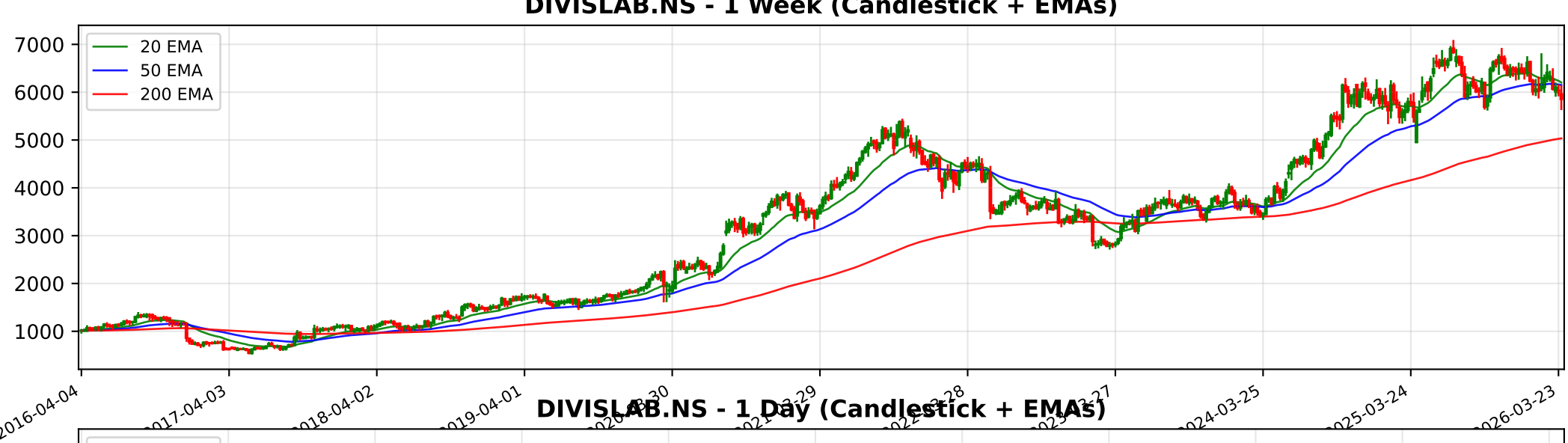
DIVISLAB.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
6800
6600
6400
6200
6000
5800
5600
1e6
Volume
2.0
1.5
1.0
0.5
0.0
2025-07-11
2025-08-06
2025-09-03
2025-09-29
2025-10-27
2025-11-21
2025-12-17
2026-01-13
2026-02-09
2026-03-06
Date

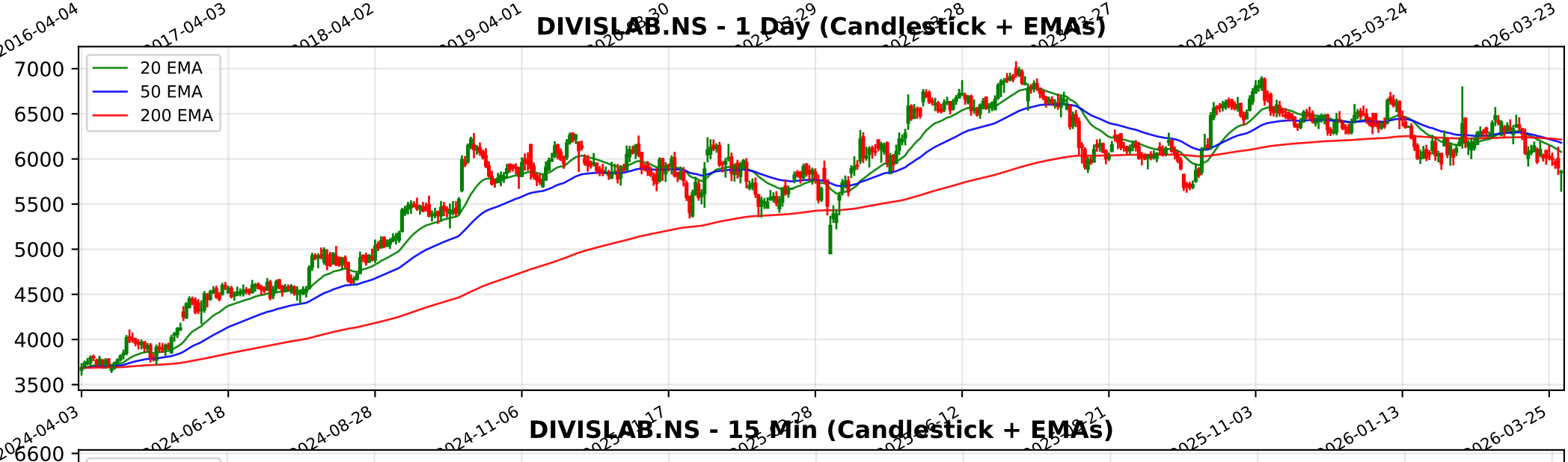
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	6521.54	5856.5	2026-01-19
1 Day	**DOWNTREND (Sell)**	6265.07	5856.5	2026-03-19
15 Min	**UPTREND (Buy)**	5775.11	5850.0	2026-04-02

Multi-Timeframe MACD Analysis

Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Strengthening	No Signal
1 Day	**Bearish**	Strengthening	No Signal
15 Min	**Bullish**	Weakening	No Signal


DIVISLAB.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
7000
6000
5000
4000
3000
2000
1000
2016-04-04
2017-04-03
2018-04-02
2019-04-01
2024-03-25
2025-03-24
2026-03-23


DIVISLAB.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
7000
6500
6000
5500
5000
4500
4000
3500
2024-04-03
2024-06-18
2024-08-28
2024-11-06
2025-11-03
2026-01-13
2026-03-25

DIVISLAB.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
6600
6400
6200
6000
5800
02-03
02-09
02-13
02-19
02-25
03-04
03-10
03-13
03-19
03-25
04-02

Trendlyne Snapshot - DIVISLAB_main

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MARKETS / SECTOR : PHARMACEUTICALS & BIOTECHNOLOGY / INDUSTRY : PHARMACEUTICALS / DIVI'S LABORATORIES LTD.

Divi's Laboratories Ltd.

Ask MarketMind AI v1.5

NSE: DIVISLAB | BSE: 532488

Divi's Laboratories Live Share Price Today, Share Analysis and Chart

Expensive Performer

In 1 Starfolio Basket

IRAN WAR IMPACT Based on the company's financial disclosures and operational updates for FY2025 and 9M FY2026, the impact of the Iran-Israel war on Divi's Laboratories Ltd. (DIVISLAB) is expected to be moderately negative, primarily due to secondary ... Read More

5856.50 -50.00 (-0.85%)

531.3K NSE+BSE Volume

NSE 02 Apr, 2026 3:31 PM (IST)

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Durability score 70.0 / 100 — High Financial Strength

Valuation Score 24.3 / 100 — Expensive Valuation

Momentum Score 35.4 / 100 — Technically Neutral

Analyst Price Target — FORECASTER

6,875

1Yr Price target upside is 17%

Expensive Performer — These stocks are strong in quality but with mid-range technicals. Their valuations are expensive — View Similar — Embed DVM

S 9 | W 11 | O 2 | T 2

SWOT Analysis

Check Before You Buy

VIEW FULL CHECKLIST

High rank — 14 Positive • 9 Negative

60.9% Pass in checklist

0 — 45 — 55 — 100

PE Valuation Check

Right Now — Fairly Valued -2%

1 Year Forward — Fairly Valued 1.8%

INSIGHT Divi's Laboratories is fairly valued at both current PE and future earnings estim

DVM | Key Metrics | Price Chart | Forecaster | Financials | Technicals | Shareholding | Deals | Documents | Corporate actions | Company Profile

Divi's Laboratories Key Metrics

Preset Metrics: Preset Metrics

ROE Ann. % — 14.6

Broker Average Target — 6,444.67

Market Capitalization — 155,471.7

Price to Book — 9.7

Trendlyne Snapshot - DIVISLAB_forecaster

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Divi's Laboratories Ltd.

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Download real time STOCK REPORT

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Divi's Laboratories - DIVISLAB - stock price prediction, stock forecast, target price, analyst ratings from 31 analysts

Divi's Laboratories has a share price target of Rs 6875, revenue growth forecast of 13.7%, and profit growth estimate of 16.8% for FY26, based on top 31 analyst calls.

Divi's Laboratories FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

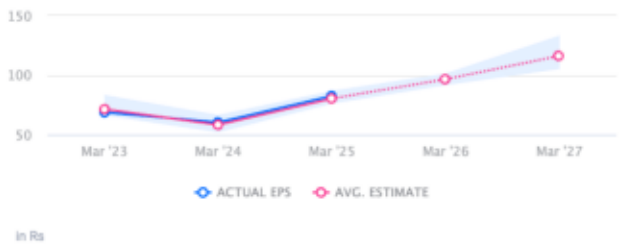
SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

↑ HIT Divi's Laboratories's share price target is above the current price, with an upside of 17.4%

EPS FORECAST

QUARTER | ANNUAL



↑ HIT Divi's Laboratories's EPS was higher than average estimate 2 times in past 3 years

CONSENSUS RECOMMENDATION

31 ANALYST Recommendations

HOLD

The consensus recommendation from 31 analysts for Divi's Laboratories is HOLD